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Land Securities Group PLC

1. Introduction: Why Landsec?

This report illustrates Land Securities Group PLC (Landsec) as a compelling investment opportunity within the UK Real Estate Investment Trust (REIT) sector. As a leading FTSE 100 constituent with a market capitalization of more than £4.1 billion and a high-quality portfolio valued at £10.9 billion composed of 90 properties, Landsec represents a unique combination of large-scale market presence and strategic agility. Unlike specialized property companies, Landsec's strength lies in its deliberate portfolio diversity, which balances stable, income-generating assets with high-growth development opportunities.

As will be shown in the next section, the Group operates across five distinct sectors to hedge against economic cycles (Table 1): offices, major retail, parks, mixed-use properties and urban neighborhoods.

Furthermore, financial resilience constitutes one of the strengths of this investment opportunity. Landsec operates with a conservative Loan-to-Value (LTV) ratio in the mid-30s and an investment-grade credit ratings of A (S&P) and A3 (Moody's) for its Priority 1 debt.

This strong capital base, coupled with an Interest Cover Ratio (ICR) that far exceeds Tier 1 covenant requirements, provides the strategic agility needed to drive long-term EPS growth through all market cycles.

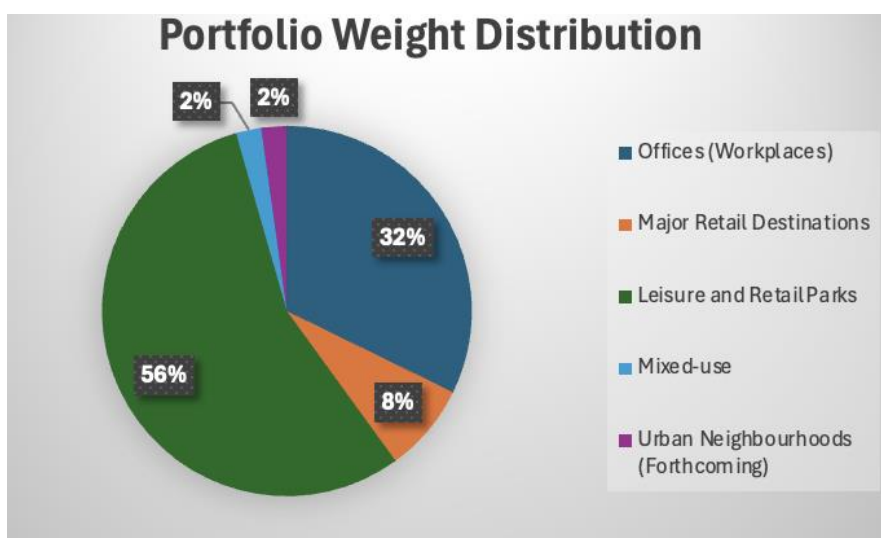
Table 1: Property Portfolio of Landsec Group

Portfolio Diversity				
Offices (Workplaces)	Major Retail Destinations	Leisure and Retail Parks	Mixed-use	Urban Neighbourhoods (Forthcoming)
Victoria, London (HQ)	Bluewater, Kent	Cambridge Leisure Park, Cambridge	MediaCity, Salford	Mayfield, Manchester
West End & Southwark, London	Liverpool ONE, Liverpool	Cardigan Fields, Leeds	The Zig Zag Building, London	Lewisham Shopping Centre, London
Myo Victoria Street, London	Trinity Leeds, Leeds	Castle Quarter, Oxford		
Myo Liverpool Street, London	St. David's, Cardiff	Fountain Park, Edinburgh		
Myo St Paul's, London	Gunwharf Quays, Portsmouth	East Kent, Leisure Park		
Myo Bankside, London	Westgate, Oxford	Brighton Marina, Brighton		
Myo Piccadilly, London	Buchanan Galleries, Glasgow	Bentley Bridge Leisure Park, Wolverhampton		
Myo King's Cross, London		Eureka Leisure Park, Ashford		
Myo New Street Square, London		Kingsmead Centre, Bath		
		Ravenside Retail Park, Chesterfield		
		Regional Retail & Leisure Portfolio (40 more properties)		

2. A deeper dive into the Landsec Group: Market Positioning Analysis

As anticipated before, Landsec Group owns a comprehensive Property Portfolio, which consists of 90 individual property interests across the United Kingdom spanned over 23.5M of square footages. The Portfolio Weight Distribution (Chart 1) illustrates how Landsec's strategy is built on a highly diversified asset base, designed to hedge against specific sector downturns.

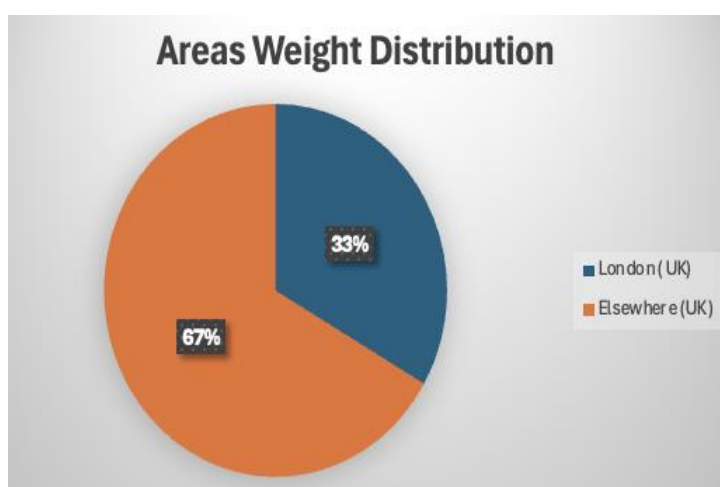
Chart 1: Portfolio Weight Distribution of Landsec Group



The largest segment by properties number, representing 56% of the portfolio distribution, consists of Regional Retail and Leisure Parks. While individually smaller than London offices, this category of 60+ properties provides high income-stability. In fact, these assets currently boast a 97% occupancy rate, benefiting from lower operational costs and a "flight to convenience" from consumers.

Representing the 32% of the portfolio distribution and 33% of all the properties portfolio's locations (Chart 2), Landsec's London offices is the Group's primary income engine. Concentration is a key competitive advantage here: the Group focuses on supply-constrained sub-markets like Victoria, the West End, and Southwark. This premium space is in such high demand that occupancy has reached a decade-high of 98.8%. The inclusion of the Myo premium-flexible workspace brand (7 locations) allows Landsec to capture the growing demand from tech and AI sectors for high-spec workspaces.

Chart 2: Locations Weight Distribution of the whole Property Portfolio



The Major Retail Destinations category represents 8% of the portfolio distribution. These are Landsec's flagship properties, comprising "Tier 1" assets such as Bluewater and Trinity Leeds; despite being a smaller percentage by count, these destinations are vital for growth.

While currently making up a smaller portion of the property count, 2% Mixed-use and 2% Urban Neighbourhoods, these segments represent the REIT's most significant value-creation engine. Flagship assets like MediaCity (Salford) and The Zig Zag Building (London) integrate office and retail to maximize 24/7 footfall. Through projects like Mayfield (Manchester) and Lewisham (London), Landsec is also pivoting toward Build-to-Rent apartments. By adding thousands of residential units to its portfolio, Landsec is diversifying into a long-term growth sector that offers inflation-linked returns and lower volatility than traditional commercial space. As for the financial aspect, Landsec's market position is fortified by an exceptionally strong capital base characterized by a Loan-to-Value (LTV) ratio of approximately 34% and a Net Debt/EBITDA ratio strictly below 8x. This conservative leverage is validated by superior investment-grade credit ratings, including A+ (Fitch) and AA (S&P) for its Priority 1 Medium Term Notes (Table 2). For an investor, these ratings represent more than just stability; they ensure a lower cost of debt, which directly enhances the Group's 5.8% existing income return at NTA (Net Tangible Assets).

Table 2: Landsec's Credit Rating

Rating agency	Analyst	Company	Debt type	Date last reviewed	Long-term credit rating
Fitch Ratings Ltd	Varun Sugathan	Land Securities Capital Markets Plc	Priority 1 Medium Term Notes	06 August 2025	A+
Standard & Poor's Rating Services	Vessellina Koleva	Land Securities Capital Markets Plc	Priority 1 Medium Term Notes	23 September 2024	AA

Source: Landsec's website - Debt Investors section (2026)

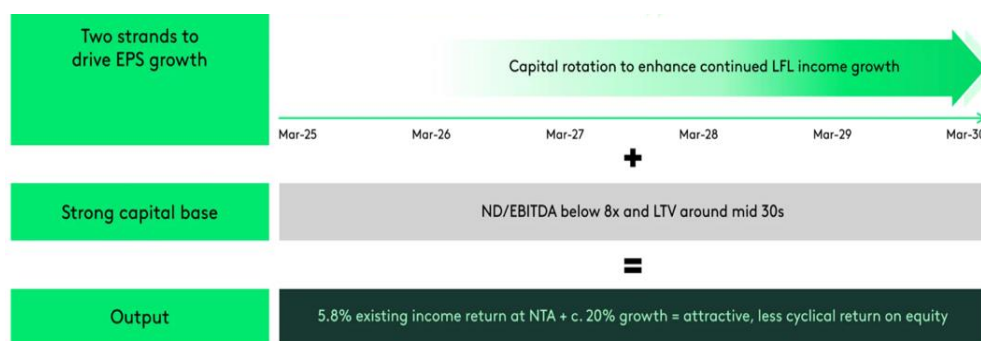
A primary competitive advantage lies in Landsec's Tiered Covenant structure (Table 3). As shown in the Group's financial framework, Landsec operates comfortably within 'Tier 1' status, requiring an Interest Cover Ratio (ICR) $\geq 1.85x$ and an LTV $\leq 55\%$. By maintaining metrics significantly better than these thresholds, the Group operates with few operational restrictions, allowing it to pivot capital towards high long-term return projects, without facing liquidity constraints to which highly leveraged peers are subject to. This "strong capital base + capital rotation" combination leads to a less cyclical, highly attractive return on equity (Figure 1), proving Landsec's ability to not only sustain rental income but to fund the expansion of its forthcoming works, such as Urban Neighbourhoods and Myo platforms.

Table 3: Landsec's Tiered Covenant structure

Tiered covenant	LTV %	ICR X	Operating environment - key points
Tier 1	≤ 55	≥ 1.85	Few operational restrictions
Tier 2	56-65	≥ 1.45	Liquidity facility required for senior interest payments
Initial Tier 3	66-80	≥ 1.2	- Existing secured facilities draw stopped - Debt to be amortised - Disposal proceeds locked up for limited purposes (including development capex) - Property manager appointed to make property recommendations
Final Tier 3	> 80	≥ 1.0	- Block on dividends from the Security Group - No developments allowable $> \pounds 50m$ - Property manager recommendations to be followed in all material respects - Administrative receiver could be appointed purely to sell assets ($> 85\%$ LTV)
Default	> 100	< 1.0	Default which allows the secured creditors to instruct the Trustee to enforce security and if appropriate accelerate

Source: Landsec's website - Debt Investors section (2026)

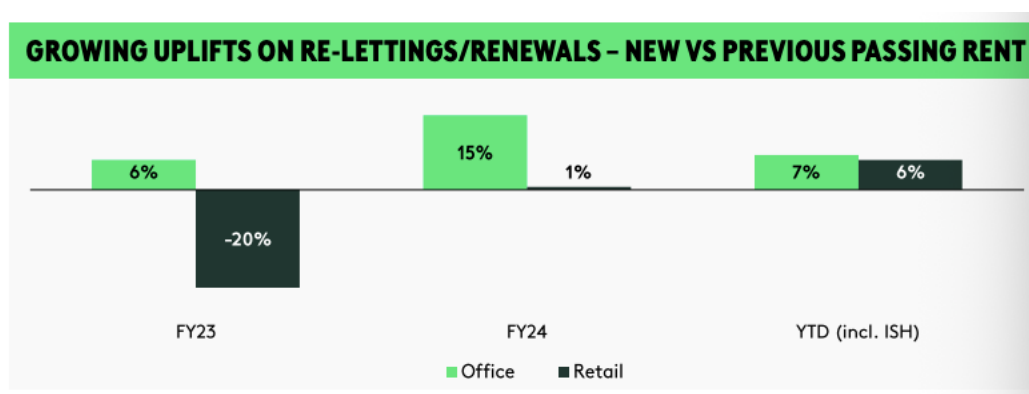
Figure 1: Landsec's Corporate Strategy for investors



Source: Landsec's website - Our Strategy section (2026)

Landsec's ability to sustain and grow its income is driven by a deliberate strategy to capture strong occupational demand for high-quality, sustainable spaces. The Group recently raised its guidance for full-year like-for-like net rental income growth to 4.0%–5.0%, a significant upgrade from initial 3%–4% projections. This momentum is evidenced by a "rental uplift" on reletting and renewals in the retail sector despite a drop in the office-led portion, with respect to the previous passing rents (Chart 3).

Chart 3: Growing uplifts on re-letting/renewals - new vs previous passing rent



Source: Landsec Website - Capital Markets update Report, February 2025

This upward trend is given by two primary strategic drivers:

- **Closing of the Rent Gap:** By resetting older leases to current higher market rates, Landsec is unlocking a 12% "hidden" growth potential. This serves as a natural inflation shield, keeping income ahead of rising costs (Chart 4).
- **Flight to Quality:** In Central London, a shortage of "green" certified workspaces and a strong demand allow Landsec to command premiums

from eco-conscious tenants (Chart 5). Simultaneously, major retail assets like Bluewater and Liverpool ONE have achieved positive rental growth for the first time in years, with LFL income rising by 5% as brand demand stabilizes.

Chart 4: Landsec's (old) leases rent vs BOE interest rate level

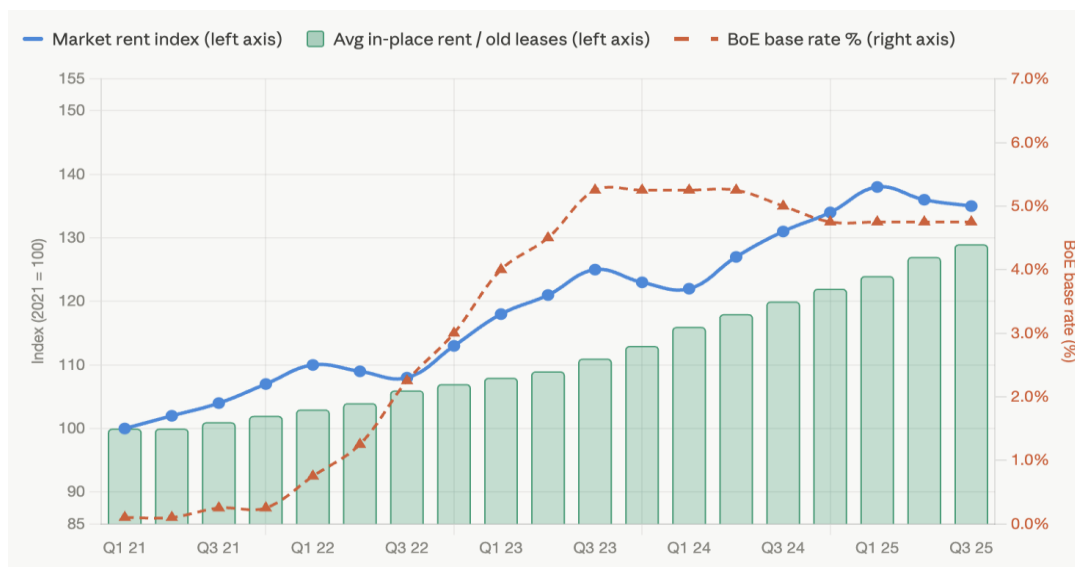
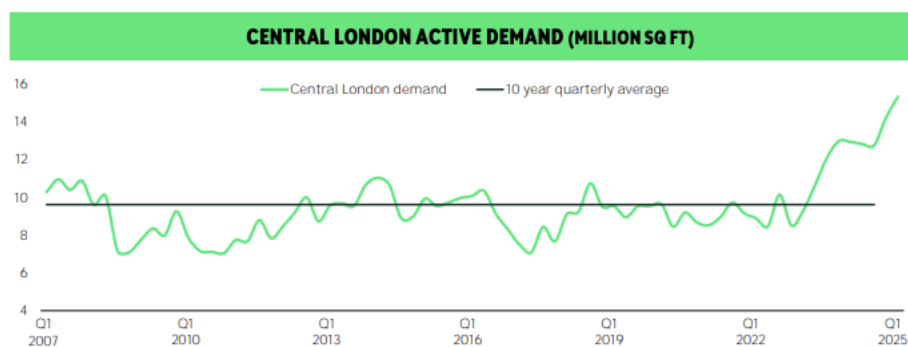


Chart 5: Central London Growing Demand (Million sq.ft.)



Source: Landsec Website - Capital Markets update Report, February 2025

Furthermore, Landsec's income sustainability is secured by its long-dated lease structures. The Weighted Average Unexpired Lease Term (WAULT) remains robust, ensuring predictable, long-term cash flow. When combined with a decade-high occupancy rate of 98%, these trends confirm Landsec's capacity to deliver consistent earnings growth through 2030, even in a complex macroeconomic environment.

Hence, by examining the occupancy rates and rental income trends detailed in this section, along with the property portfolio, the report demonstrates that Landsec is not only a stable income provider, but a growth-oriented leader positioned to outperform the broader UK real estate market.

3. A look at the numbers: Landsec's Financial Health Analysis

Between 2023 and 2025, Landsec transitioned from a defensive to a growth-oriented strategy. By recycling \$£1.4bn in assets, they lowered LTV to 31.7% and maintained 96.5% occupancy despite economic headwinds. The "2030 Vision" launch fostered 5.0% rental growth and retail reinvestment, underpinned by £2bn in liquidity and a strong 4.2x Interest Cover Ratio. With stabilized asset values and resilient equity, Landsec successfully translated operational performance into steady dividend growth. This period underscores the Group's ability to recycle capital effectively, ensuring sustainable long-term shareholder returns within a volatile market.

3.1. FY2023: Strategic Deleveraging and Operational Resilience

In the 2023 financial year, Landsec proactively fortified its balance sheet by offloading £1.4bn in London offices, successfully reducing its LTV to 31.7% and

Net Debt/EBITDA from 9.7x to 7.0x, with respect to year 2022 (Table 4). This deleveraging provided a crucial safety buffer against rising interest rates, supported by a robust 4.5x Interest Cover Ratio, ensuring that even as the Bank of England raised rates, Landsec's earnings remained more than four times larger than its interest obligations.

Table 4: Landsec's Net Debt and Leverage (2023 vs 2022)

	31 March 2023	31 March 2022
Net debt	£3,348m	£4,254m
Adjusted net debt ⁽¹⁾	£3,287m	£4,179m
Interest cover ratio	4.5x	4.9x
Net debt/EBITDA (period-end)	7.0x	9.7x
Net debt/EBITDA (weighted average)	8.0x	8.6x
Group LTV ⁽¹⁾	31.7%	34.4%

Source: Landsec's Results for the year ended 31 March 2023

Despite market adjustments lowering EPRA NTA to 936p per share, the core business boomed. EPRA earnings rose 10.7% to £393m, covering a 38.6p dividend 1.2x (Table 5). Landsec also demonstrated high Operational Efficiency, maintaining a lean cost base despite inflationary pressures and optimizing its EPRA Cost Ratio by focusing on high-quality asset. With £2.4bn in liquidity and a decade-high 10.3-year debt maturity, the Group is well-equipped to fund its pipeline without accessing expensive new debt markets.

Table 5: Landsec's Core Financial Metrics (2023 vs 2022)

	31 March 2023	31 March 2022	% change
EPRA earnings	£393m	£355m	10.7%
Underlying EPRA EPS ⁽¹⁾	50.1p	48.0p	4.4%
Dividend per share	38.6p	37.0p	4.3%
EPRA NTA per share	936p	1063p	-11.9%

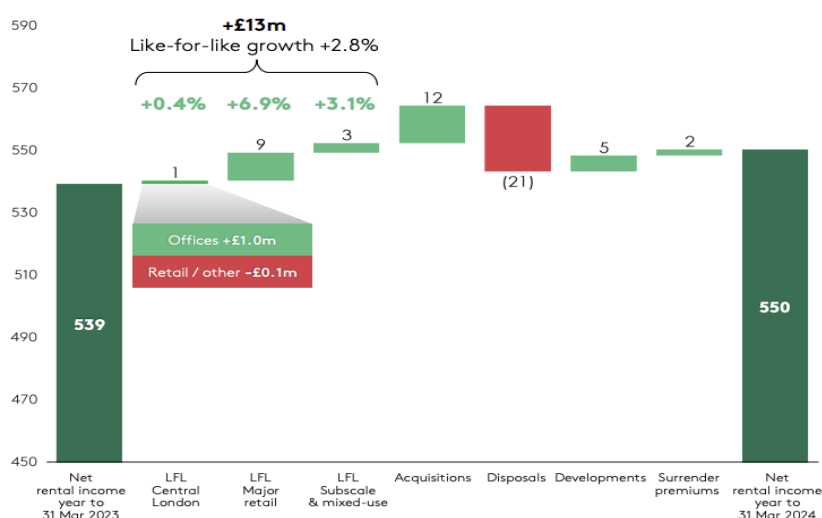
Source: Landsec's Results for the year ended 31 March 2023

3.2. FY2024: Capital Reinvestment and Portfolio Optimization

In FY2024, Landsec successfully transitioned from a defensive deleveraging stance to a proactive reinvestment strategy. While high interest rates pressured the broader real estate market, triggering a 6.0% dip in portfolio valuation, the Group's internal discipline ensured exceptional stability. By completing over £600m in non-core asset sales, Landsec optimized its pro-forma LTV to 32.3%. This "capital recycling" provided the necessary "dry powder" to secure prime assets at attractive entry prices while many competitors remained capital constrained.

Operationally, the Group's focus on high-scarcity locations yielded its strongest leasing results in recent years. This "flight to quality" was evidence by a decade-high occupancy rate of 97.3% and a 2.8% rise in net rental income from 2023 (Chart 6). Such robust performance, particularly within dominant regional retail hubs, translated into a resilient EPRA EPS of 50.1p. Consequently, the Board confidently increased the total dividend to 39.6p per share (Table 6).

Chart 6: Movement in Net Rental Income (2024 vs 2023)



Source: Landsec's Results for the year ended 31 March 2024

Table 6: Landsec's Core Financial Metrics (2024 vs 2023)

	31 March 2024	31 March 2023	% change
EPRA earnings	£371m	£371m ⁽¹⁾	-
EPRA earnings per share	50.1p	50.1p ⁽¹⁾	-
Dividend per share	39.6p	38.6p	+2.6%
EPRA NTA per share	859p	936p	-8.2%

Source: Landsec's Results for the year ended 31 March 2024

Landsec's liquidity profile remains a formidable competitive edge. With £1.9bn in available liquidity and an average debt maturity approaching ten years, the Group effectively bypassed high-interest refinancing cycles. Supported by a healthy 1.27x dividend cover, an ICR of 3.9x (which comfortably exceeds the 1.25x – 1.50x level required by bank covenants), and a Net debt/EBITDA of 7.4x Landsec has stabilized its values and is now positioned to drive superior future returns (Table 7).

Table 7: Landsec's Net Debt and Leverage (2024 vs 2023)

	31 March 2024	31 March 2023
Net debt	£3,594m	£3,348m
Adjusted net debt ⁽¹⁾	£3,517m	£3,287m
Interest cover ratio	3.9x	4.5x
Net debt/EBITDA (period-end)	7.4x	7.0x
Net debt/EBITDA (weighted average)	7.3x	8.0x
Group LTV ⁽¹⁾	35.0%	31.7%

Source: Landsec's Results for the year ended 31 March 2024

3.3. FY2025: Strategic Rebalancing and the Landsec 2030 Vision

The 2025 financial year marked Landsec's definitive transition into a yield-focused expansion phase, underpinned by exceptional operational results. The Group achieved a 5.0% growth in like-for-like net rental income from 2024, which effectively stabilized portfolio valuations for the first time in three years. In alignment with the "Landsec 2030" vision, the company deepened its exposure to high-quality retail through major acquisitions, including an increased stake in Bluewater and the full consolidation of Liverpool ONE. While these investments moved the Group LTV toward 39.3%, the shift was a calculated move to capitalize on improved market yields (4.6% in London and 7.5% in Retail). This confidence in long-term cash flow is reflected in an upward trajectory for EPRA Earnings per share of 0.8%, supporting a 3.1% dividend increase to 40.4p per share (Table 8).

Table 8: Landsec's Core Financial Metrics (2025 vs 2024)

	31 March 2025	31 March 2024	Change
EPRA earnings	£374m	£371m	0.8%
EPRA earnings per share	50.3p	50.1p	0.4%
Dividend per share	40.4p	39.6p	2.0%
EPRA NTA per share	Pro forma ¹ 874p	859p	1.7%

Source: Landsec's Results for the year ended 31 March 2025

Despite disciplined "capital recycling" for its £3bn pipeline, Landsec's metrics show transitional friction. Net Debt/EBITDA rose to 8.9x and Interest Cover dipped to 3.6x, reflecting temporary earnings halts during this major asset rotation (Table 9).

Table 9: Landsec's Net debt and leverage (2025 vs 2024)

	31 March 2025	31 March 2024
Net debt	£4,341m	£3,594m
Adjusted net debt ⁽¹⁾	£4,304m	£3,517m
Interest cover ratio	3.6x	3.9x
Net debt/EBITDA (period-end)	8.9x	7.4x
Net debt/EBITDA (weighted average)	7.9x	7.3x
Group LTV ⁽¹⁾	39.3%	35.0%

Source: Landsec's Results for the year ended 31 March 2025

This three-year financial evolution demonstrates how Landsec successfully shifted from a defensive deleveraging in 2023 to an aggressive, yet controlled, growth in 2025, ensuring the Group remains well-positioned for urban transformation & residential platform investment and aims for sustainable earnings per share (EPS) growth through 2030.

4. Landsec's Valuation: Methodologies and Assumptions

To establish a reliable "fair value" for Landsec, this analysis synthesizes the Earnings Multiple Approach and the Dividend Discount Model (DDM), considering an investment horizon of five years (2025-2030). This multi criteria perspective is essential for identifying whether the current share price accurately reflects the company's long-term income potential and strong capital assets.

4.1. The Earnings Multiple Approach

This analysis uses the Price-to-EPRA Earnings ratio to value Landsec against a peer group of "Large-Cap" UK REITs. To ensure a representative benchmark, British Land (BLND) and Derwent London (DLN) were selected as primary comparables due to their shared exposure to the London office and UK retail markets, as well as similar operational risk profiles.

- British Land ([BLND](#)): Landsec's most direct competitor, sharing a "best-in-class" strategy focused on high-quality London offices and dominant regional retail centres.
- Derwent London ([DLN](#)): Provides a critical benchmark for Landsec's office portfolio, specifically aligning with the strategic shift toward high-quality "Grade A" green spaces.

To prioritize recurring operational cash flow over volatile market fluctuations, this study utilizes EPRA Earnings rather than standard IFRS Net Income. By excluding non-recurring items and non-cash property revaluations, the resulting

multiples reflect the market's current valuation of normalized operational performance, providing a more accurate baseline for relative value.

The starting year valuation provided us those results, as shown below (Figure 2).

Figure 2: Earnings Multiple Approach Valuation Output (year 2025)

Actual			
0			
2025			
	Landsec	British Land	Derwent London
	(£M)	(£M)	(£M)
Balance Sheet			
Assets	10,900	8,683	5,094
Net Debt	4,341	3,614	1,450
NTA (Net Worth)	6,511	5,180	3,615
Income Statement			
	(£M)	(£M)	(£M)
Revenues	636	484	218
EBITDA	482	349	161
EPRA Earnings	374	279	110
Market Data			
Share Price (in p)	551	370,40	1.846
Shares Outstanding (£M)	747	999	112
EPRA EPS (in p)	50,07	28,50	98,40
Market Cap (in £M)	4.116	3.700,30	2.067,52

Multiples	British Land	Derwent London	Average	Landsec Implied Equity Value (£M)
P/EPRA EPS Ratio	12,99 x	18.76 x	15.88 x	5.939
MV/BV	0.71 x	0.57 x	0.64 x	4.167
EV/EBITDA	20.95 x	21.84 x	21.39 x	5.969
Market Cap (in £M)	3.700	2.068	2.884	5.358

By applying average peer multiples to Landsec's FY2025 data, we derived an implied equity value of £5,358M. This represents a significant uplift from the current £4,116M market cap, suggesting that P/EPRA and EV/EBITDA metrics currently underprice the company's recurring earnings.

To determine long-term intrinsic value, five-year earnings forecast through FY2030 was conducted using the following assumptions:

- **EPRA EPS Projections:** Based on analyst consensus for FY2026–2027, followed by a steady climb to management's 58p target by 2030.

- Terminal Value: Calculated using a peer average P/EPRA multiple of 15.88x, assuming Landsec's valuation mean-reverts to sector levels by FY2030.
- Discount Rate (CAPM): A 10.03% Cost of Equity was applied, derived from a 4.8% risk-free rate, a 0.95 Beta (Landsec's systematic risk profile), and a 5.5% market risk premium.

The model yields an implied present value share price of 570.60p, higher than the current trading price of 551p (Figure 3). When accounted for the total number of shares (747M), the valuation indicates a total implied equity value of £4,262M, meaning that Landsec is trading at a 3.43% discount to its intrinsic value. Those results in a clear margin of safety, suggesting that Landsec is undervalued based on its future earnings potential and expected operational recovery.

Figure 3: Earnings Multiples Approach Valuation Output (2026-2030)

Forecast					
	1	2	3	4	5
	2026	2027	2028	2029	2030
EPRA EPS (in p)	49,72	53,22	54,75	56,32	57,93
Average P/EPRA EPS Ratio	15.88 x				

Terminal Value (in p)	920
Discount Factor (Cost of Equity)	10,03%
Landsec Implied Share Price (in p)	570,60
Landsec Implied Equity Value (£M)	4,262

Discount to current Equity Value	3,43%
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CAPM: $K_e = R_f + \beta * \text{Market Risk Premium}$

Valuation Inputs	
Risk-free rate (Rf)	4,80%
Landsec β	0,95
Market Risk Premium (Rm-Rf)	5,50%
Cost of Equity (Ke)	10,03%

4.2. The Dividend Discount Model (DDM)

The intrinsic value of Land Securities Group (Landsec) was derived using a Two-Stage Dividend Discount Model (DDM), a tool superior to standard DCF for REITs given the legislative requirement to distribute 90% of tax-exempt rental profits. Modelling these distributions through 2030 establishes a Fair Value of 773.73p per share, corresponding to a total equity value of £5,779.76M (Figure 4). This suggests Landsec is trading at a significant 28.79% discount to its intrinsic value.

In the initial phase, the model forecasts a 4.5% rental income growth rate. This projection is driven by Landsec's prime London assets, which are currently let below market rates, positioning the company to capture significant uplifts as leases expire. The model further accounts for operating leverage by incorporating a 2.0% efficiency improvement in administrative expenses. This "margin expansion" allows bottom-line EPRA Earnings to outpace top-line revenue, serving as a primary driver for early-stage dividend growth.

The second stage of the model transitions to a normalized 2.5% growth rate, coinciding with the completion of the "Capital Recycling" program. To maintain economic realism, the analysis integrates a 1.5% Loss on Disposal and associated transaction expenditures, acknowledging the "friction costs" of rotating £3bn of assets. By embedding these costs into the IFRS forecast while neutralizing them for EPRA Earnings, the model effectively filters out non-cash accounting noise. The result is a stabilized Dividend Payout Ratio of approximately 82%, aligning with Landsec's commitment to returning rental surplus while retaining capital for essential maintenance.

Finally, the Terminal Value, which represents the value of all dividends beyond 2030, utilizes a 2.0% Perpetual Growth Rate, strategically aligned with the Bank of England's inflation target. This suggests that Landsec will serve as a "natural hedge" against inflation over the long term, reinforcing its appeal as a stable, value-driven investment. This terminal cash flow was discounted back to present value using a Cost of Equity (K_e) of 10.03%, which incorporates the current UK Risk-Free Rate and Landsec's market Beta, accounting for both the time value of money and the inherent risks of the real estate sector.

Figure 4: Dividend Discount Model (DDM) Valuation Output

	Historical		Actual	Forecast				
	2023	2024	0 2025	1 2026	2 2027	3 2028	4 2029	5 2030
Dividend per share (p)	38,6	39,6	40,4	42,2	44,1	45,2	46,4	47,5
Dividend Payout Ratio (%)	73%	79%	80%	84,69%	82,67%	82,38%	82,08%	81,79%
Discount factor (Cost of Equity)				10,03%	10,03%	10,03%	10,03%	10,03%
Perpetual Growth Rate								2%
PV of dividends				38,37	36,44	33,95	31,63	29,47
Sum of PV of dividends	169,86							
Terminal Value per share (in p)	603,87							
Fair Value per share (in p)	773,73							
Land Implied Equity Value (£M)	5.779,76							
Discount to current Equity Value	28,79%							

5. Investment Conclusion and Recommendation

The valuation analysis indicates that Landsec is significantly undervalued relative to its current market pricing. A weighted average of the two-stage Dividend Discount Model (773.73p) and the earnings multiple approach (570.6p) yields a fair value of 672.16p per share. Compared to the current market equity value of £4,116M, this suggests a notable 18% discount, providing a substantial margin of safety for investors (Figure 5).

Figure 5: Landsec's Valuation Summary

Valuation Summary	Estimation (in p)	Weight Assigned
Implied Share Price- Earnings Multiple Approach	570,60	50%
Implied Share Price- DDM	773,73	50%
Final Valuation Result	672,16	100%
Current Market Share Price (2025)	551	
Discount to estimated fair value	18,03%	

Strategically, Landsec is prime positioned as the UK's leading owner of "Grade A" London office and retail assets. The portfolio is optimized for rental uplift, allowing the REIT to reset leases at market peaks upon expiry. This organic growth is bolstered by a disciplined £3bn capital recycling program and a 2.0% annual reduction in administrative overhead, enabling EPRA Earnings to outpace top-line revenue. While a stable 82% dividend payout ratio confirms sustained income strength - supported by high-quality rental cash flows and a robust balance sheet-, certain risks persist, including interest rate volatility, shifts in secondary office demand, and friction costs from asset rotation, such as the 1.5% loss on disposal integrated into this analysis. Nevertheless, the combination of historical income stability, strategic asset realignment and a deep valuation discount signals a clear opportunity.

Consequently, a **Buy rating** is recommended for medium-term investors seeking stable dividends and capital recovery. The conservative forecasting of future cash flows and the derived 18% margin of safety reinforce the stock's long-term upside potential.

References

Landsec's website – About Landsec – Our Properties, 2025.

<https://www.landsec.com/en/about/about-landsec/our-properties>

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